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LEARNER GUIDE

For

Strategic Mergers and Acquisitions - Valuation, Risk, and Integration

TGS Ref No: TGS-2026061581

Conducted by
Tertiary Infotech Academy Pte Ltd
UEN: 201200696W

Version 2.0

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DOCUMENT VERSION CONTROL RECORD

Version Number	Effective Date of Release	Summary of Included Changes	Author
2.0	13 August 2026	Expanded source-aligned release with real-world Bonadio–TGA activities, valuation, risk and integration content.	Dr. Alfred Ang

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How to Use This Guide

Read the concept section before each activity, then complete the activity in its individual folder. Detailed procedures belong here and in the activity Markdown files; the slide deck remains visual and concept-led.

Evidence boundary: The Bonadio–TGA transaction is real and sourced. Because financial terms were not disclosed, all numeric case inputs are explicitly labelled training assumptions and must never be described as transaction facts.

Course Learning Outcomes and TSC Mapping

- LO1: Apply financial instruments and valuation methods to structure mergers and acquisitions that optimise organisational benefit and shareholder value.
- LO2: Evaluate the business, financial and tax impact of potential M&A deals using industry data and forecasting techniques.
- LO3: Identify, assess and manage M&A risks across the full transaction lifecycle from target selection to post-deal integration.
- LO4: Collaborate with stakeholders to develop and implement M&A plans while ensuring governance, synergy realisation and strategic alignment.

Knowledge

- K1: Financial instruments to shape the structure of a deal for the benefit of the organisation
- K2: Business impact forecast of potential M&A deals
- K3: Business valuation concepts
- K4: Industry knowledge of potential M&A targets, including patents, pricing pressures and tax considerations
- K5: Financial and tax implications of a deal on the organisation's financial position

Abilities

- A1: Support opportunities that improve tax efficiency, organisational valuation and internal economies of scale
- A2: Function as checks and balances throughout the M&A process
- A3: Facilitate implementation plans with internal stakeholders to integrate the acquired company
- A4: Risk-manage the process from target identification through diligence, execution and integration
- A5: Leverage business intelligence and data analysis to facilitate deal structuring
- A6: Identify and evaluate M&A opportunities that create shareholder value

The Progressive Real-World Case

On 6 August 2026, CPA Practice Advisor reported that The Bonadio Group would add T. Gschwender & Associates (TGA), a Syracuse provider of credit-risk management services to financial institutions. The transaction was expected to close on 16 August 2026; financial terms were not disclosed. TGA was to join Bonadio's internal audit business unit within Advisory & Consulting.

Primary transaction report: https://www.cpapracticeadvisor.com/2026/08/06/credit-risk-management-firm-joins-the-bonadio-group/188098/

Activities 1–8 follow the same deal from strategic rationale and valuation through forecast, diligence, risk, integration, culture and client continuity. This continuity allows each output to become an input to the next decision.

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Topic 1 — Deal Structuring and Valuation Principles

TSC mapping: K1 · K3 · A1. Financial instruments · valuation · shareholder value · economies of scale.

Key Concepts

- Deal thesis: A transaction starts with a testable strategic rationale, not a price.
- Structure: Consideration, financing, control and risk allocation work together.
- Value: Triangulate methods; reconcile enterprise value to equity value.
- Discipline: Normalise earnings, challenge synergies and preserve downside protection.

Merger, acquisition or another route?

- Merger: Businesses combine under shared control; governance must be redesigned.
- Acquisition: A buyer obtains control through shares, assets or a negotiated business transfer.
- Alternatives: Joint venture, alliance, licensing or organic build may deliver the objective with less integration risk.

The M&A value chain

1. Strategy and target thesis
2. Screen and approach
3. Value and structure
4. Diligence and negotiate
5. Close and integrate

Why organisations pursue M&A

- Scale: Lower unit costs through procurement, systems and shared services.
- Scope: Add capabilities, products, client segments or geographies.
- Speed: Buy proven talent, technology, licences or distribution rather than build.
- Resilience: Diversify revenue, reduce concentration or reinforce a strategic position.

Consideration instruments

- Cash: Price certainty for the seller; liquidity and leverage pressure for the buyer.
- Shares: Shares risk and upside; introduces dilution, valuation and governance questions.
- Earn-out: Defers value until agreed performance is achieved; definitions must be precise.
- Rollover equity: Keeps sellers invested in NewCo and aligns them with future value creation.

Financing and risk-allocation instruments

- Senior debt: Lower cost and tax-deductible interest, but covenants constrain flexibility.
- Seller note: Bridges a funding or valuation gap; seller retains credit exposure.
- Preferred / convertible: Blends downside protection with participation in upside.
- Escrow / holdback: Secures claims for warranties, indemnities or post-close adjustments.

Share purchase versus asset purchase

Perspective A

- Buyer acquires the legal entity and its contracts, assets and liabilities.
- Continuity may be simpler, but unknown liabilities can follow the entity.
- Diligence, warranties and indemnities are critical.

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Perspective B

- Buyer selects assets and assumed liabilities subject to transfer rules.
- May permit tax basis step-up, but consents and novation can be complex.
- Employee, licence and indirect-tax effects need local advice.

Price is what is paid; value is what the buyer can defend.

Key point: Price is what is paid; value is what the buyer can defend. A valuation range must show assumptions, uncertainty and the bridge to the negotiated consideration.

Valuation triangulation

1. Normalise earnings
2. Build standalone forecast
3. Value with DCF
4. Benchmark comps and precedents
5. Reconcile to a range

Enterprise value and equity value

- Enterprise value: Value of operations available to debt and equity capital providers.
- Equity bridge: EV minus debt-like items plus cash and agreed adjustments.
- Working capital: Completion accounts or a locked-box protects the normal operating level.
- Per-share value: Equity value divided by diluted shares, after options and other claims.

Income approach: DCF

Perspective A

- Forecast unlevered free cash flow from operating drivers.
- Discount with a rate consistent with risk and cash-flow definition.
- Estimate terminal value without letting it dominate unexplained.

Perspective B

- DCF exposes value drivers and integration assumptions.
- It is sensitive to WACC, terminal growth, margins and reinvestment.
- Use scenarios and sensitivities; avoid false precision.

Market approaches

Perspective A

- Trading comparables apply peer valuation multiples to the target's metric.
- They reflect current market expectations but require genuinely comparable peers.
- Adjust for scale, growth, margins, geography and business mix.

Perspective B

- Precedent transactions reflect control premiums and deal-market conditions.
- They may include strategic synergies not available to every buyer.
- Date, cycle, structure and accounting consistency matter.

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Normalising EBITDA and cash flow

- Owner items: Replace related-party or owner compensation with market levels.
- One-offs: Remove genuinely non-recurring items, with evidence.
- Run-rate: Reflect contracted or implemented changes without double counting.
- Cash conversion: Test capex, working capital and tax; EBITDA is not cash flow.

Valuation risk controls

- Sensitivity: Show value over a rational WACC and terminal assumption range.
- Scenario: Build base, upside and downside operating cases.
- Cross-check: Compare implied multiples and free-cash-flow yield.
- Independent challenge: Separate deal advocacy from valuation review and approval.

Value-creation levers

- Revenue: Cross-sell, price, retention, channel and new capability.
- Cost: Procurement, property, technology and shared services.
- Capital: Working capital, capex, tax and portfolio optimisation.
- Multiple: Improve recurring revenue, resilience, governance and growth quality.

Internal economies of scale

- Commercial: Shared brand, channels, CRM and client coverage.
- Operating: Central procurement, platforms, training and administration.
- Financial: Funding access, cash pooling and professionalised controls.

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Activity 1 — Bonadio–TGA Deal Thesis and Structure Activity

TSC mapping: K1 · A1 · A6. Apply financial instruments to shape a deal structure (K1, A1, A6).

Goal and Deliverable

Use the announced Bonadio–TGA professional-services transaction to build a defensible strategic thesis and term-sheet architecture.

- Deliverable: Deal Thesis and Structure Decision Page (PDF or DOCX)

Real-World Scenario

On 6 August 2026, CPA Practice Advisor reported that The Bonadio Group would add T. Gschwender & Associates (TGA), a Syracuse provider of credit-risk management services to financial institutions. The transaction was expected to close on 16 August 2026; financial terms were not disclosed. TGA was to join Bonadio's internal audit business unit within Advisory & Consulting.

You are on Bonadio's deal team before the expected closing. Leadership wants a concise view of why TGA fits, which capabilities create value, and how a structure could protect client continuity and specialist talent when the actual terms are unknown.

Source: https://www.cpapracticeadvisor.com/2026/08/06/credit-risk-management-firm-joins-the-bonadio-group/188098/

Training Assumptions and Guardrails

- No purchase price, revenue, EBITDA or ownership terms were reported; do not infer them.
- For comparison only, assume the seller values continuity, client service and continued management participation.
- Treat every proposed instrument as a learner recommendation, not an account of the actual transaction.

Scenario Questions

Question 1: Which facts support strategic fit, and which important facts remain unknown?

Question 2: Would cash, rollover equity, an earn-out, a seller note or a holdback best allocate risk? Why?

Question 3: What value could scale create without weakening TGA's specialist edge?

Question 4: What conditions would make the team pause or walk away?

Detailed Step-by-Step Activity

Step 1 — Read the source and separate verified facts from interpretation

Create two columns: Reported fact | Deal-team inference. Record the publication and expected-close dates.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 2 — Write a one-sentence deal thesis

Complete: Bonadio should pursue TGA because [capability/client/geography], creating value through [specific mechanism], provided [critical risk] is controlled.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

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Step 3 — Score strategic fit

Rate capability fit, client adjacency, specialist differentiation, cultural fit, execution complexity and integration capacity from 1–5; justify every score.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 4 — Map value creation

Identify revenue, cost, capital and resilience levers. Reject any lever that lacks an owner or evidence path.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 5 — Design the consideration mix

Compare cash, rollover equity, earn-out, seller note and escrow/holdback against certainty, retention, financing, tax and dispute risk.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 6 — Draft risk allocation

Propose at least three protections such as working-capital adjustment, warranties, indemnity, escrow, retention condition or client-revenue earn-out.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 7 — Run the challenge meeting

Assign Deal Sponsor, Finance, Legal/Risk and Integration roles. Each role states one objection and one required condition.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 8 — Finalise the decision page

State recommendation, preferred structure, top three risks, mitigations and walk-away triggers. Label all assumptions.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Acceptance Test

Pass condition: The page distinguishes facts from assumptions, proposes at least two instruments, links each term to a risk or value driver, and includes an explicit go/conditional/no-go recommendation.

Reflection and Debrief

1. Which assumption changed your recommendation most, and why?
2. What additional evidence would you request?
3. Which stakeholder owns the next action?

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4. How does this output feed the next M&A stage?

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Activity 2 — Bonadio–TGA Valuation Triangulation Activity

TSC mapping: K3 · A1. Apply business valuation concepts and reconcile a valuation range (K3, A1).

Goal and Deliverable

Build a screening valuation for the real announced transaction using clearly labelled training assumptions because the deal's financial terms were not disclosed.

- Deliverable: Valuation Workbook and one-page Valuation Range Memo

Real-World Scenario

On 6 August 2026, CPA Practice Advisor reported that The Bonadio Group would add T. Gschwender & Associates (TGA), a Syracuse provider of credit-risk management services to financial institutions. The transaction was expected to close on 16 August 2026; financial terms were not disclosed. TGA was to join Bonadio's internal audit business unit within Advisory & Consulting.

The deal sponsor asks for an indicative range before committing more resources. Your model must make uncertainty visible and must not present simulated inputs as Bonadio or TGA disclosures.

Source: https://www.cpapracticeadvisor.com/2026/08/06/credit-risk-management-firm-joins-the-bonadio-group/188098/

Training Assumptions and Guardrails

- Training case only: FY2026 revenue US$8.0m; normalised EBITDA US$2.0m; cash tax 24%; capex US$0.20m; change in NWC US$0.10m.
- Five-year revenue growth: 8%, 7%, 6%, 5%, 4%; EBITDA margin gradually rises from 25% to 27%.
- DCF base: WACC 12%; terminal growth 3%; net debt US$0.50m.
- Market cross-check range: 7.0x–9.0x normalised EBITDA. These are course assumptions, not reported facts.

Scenario Questions

Question 1: What adjustments are needed to move reported EBITDA to normalised EBITDA?

Question 2: What value range emerges from DCF and the 7.0x–9.0x multiple cross-check?

Question 3: How does enterprise value bridge to equity value?

Question 4: Which two assumptions drive the widest value change?

Detailed Step-by-Step Activity

Step 1 — Create an Assumptions block

Enter every training input in a dedicated blue-font input cell with units, source type and an explicit 'Training assumption' flag.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 2 — Normalise EBITDA

Start from US$2.0m and add separate rows for owner/related-party, one-off and run-rate adjustments. Keep the base case at US$2.0m unless you can justify a change.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

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Step 3 — Forecast operating performance

Build revenue, EBITDA, cash tax, capex and change-in-NWC rows for five years; calculate unlevered free cash flow.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 4 — Calculate DCF value

Discount each year's FCF at 12%; calculate Gordon-growth terminal value at 3%; discount terminal value to present.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 5 — Build the equity bridge

Start with enterprise value, subtract debt-like items, add cash if assumed and state resulting equity value.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 6 — Add market cross-checks

Apply 7.0x, 8.0x and 9.0x to normalised EBITDA; explain why scale, growth, recurring revenue and key-person dependence affect positioning.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 7 — Create a two-way sensitivity

Vary WACC from 10%–14% and terminal growth from 2%–4%. Each cell must recalculate the DCF.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 8 — Reconcile to a range

Explain differences across methods; present low/base/high, implied EBITDA multiple and FCF yield.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 9 — Perform model checks

Confirm FCF components tie, terminal value is discounted, EV-to-equity bridge works and no output is hard-coded.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Acceptance Test

Pass condition: The model is formula-driven, shows sources/assumptions, has a working sensitivity table and reconciles DCF with the multiple range without claiming undisclosed deal facts.

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Reflection and Debrief

1. Which assumption changed your recommendation most, and why?
2. What additional evidence would you request?
3. Which stakeholder owns the next action?
4. How does this output feed the next M&A stage?

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Topic 2 — Forecasting, Financial and Tax Implications

TSC mapping: K2 · K5 · A1 · A2. Business impact · synergies · pro forma statements · tax.

Key Concepts

- Standalone first: Forecast the target before adding buyer-specific synergies.
- Timing matters: Separate run-rate benefit, ramp-up and one-off cost to achieve.
- Three statements: Trace assumptions through profit, cash flow and the balance sheet.
- Tax is contextual: Structure effects require jurisdiction-specific professional advice.

Build a defensible deal forecast

1. Historical quality
2. Standalone drivers
3. Synergy cases
4. Integration costs
5. Cash and returns

Standalone forecast drivers

- Volume: Clients, units, capacity, utilisation or transactions.
- Price and mix: Rate cards, discounts, segment mix and churn.
- Margin: Labour productivity, procurement, delivery model and overhead.
- Investment: Capex, working capital, technology and compliance.

Synergy taxonomy

- Revenue: Cross-sell, pricing, retention and new routes to market.
- Cost: Duplicate roles, vendors, facilities and systems.
- Capital: Working capital, capex avoidance and financing efficiency.
- Dis-synergy: Client loss, talent exits, service disruption or cannibalisation.

Run-rate benefit versus cash realisation

Perspective A

- Run-rate is the annualised benefit once fully implemented.
- A phased ramp recognises hiring cycles, contracts and operational dependencies.
- Owners and dates turn ambition into an integration commitment.

Perspective B

- Cash realisation nets cost-to-achieve, tax and working-capital effects.
- Track both recurring benefit and one-off spend.
- Avoid recognising a synergy before the underlying action is complete.

Integration costs

- People: Retention, severance, relocation and training.
- Technology: Migration, licences, cybersecurity and data remediation.
- Operations: Rebranding, facilities, process redesign and advisers.
- Contingency: A transparent risk allowance linked to specific uncertainty.

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Scenario design

1. Base case
2. Downside drivers
3. Severe but plausible
4. Management actions
5. Liquidity and covenant check

Deal return measures

- NPV: Present value of incremental cash flows less investment.
- IRR: Discount rate at which deal cash flows have zero NPV.
- ROIC: Post-tax operating profit relative to invested capital.
- Payback: Time until cumulative cash inflow recovers the investment.

Accretion/dilution is not intrinsic value

Perspective A

- EPS accretion asks whether pro forma EPS rises after financing and accounting effects.
- It can be influenced by relative P/E multiples, funding mix and buyback alternatives.
- A deal can be EPS-accretive yet destroy economic value.

Perspective B

- Value creation asks whether return exceeds the risk-adjusted cost of capital.
- Use NPV/ROIC, strategic option value and downside resilience.
- Report both views to decision-makers.

Financial statement effects

- Profit and loss: New revenue/cost base, financing, amortisation and integration charges.
- Balance sheet: Consideration, debt, goodwill, intangibles and deferred tax.
- Cash flow: Purchase consideration, transaction costs, integration spend and working capital.
- Ratios: Leverage, liquidity, interest cover, margins and covenant headroom.

Purchase price allocation

1. Identify consideration
2. Fair-value assets/liabilities
3. Recognise intangibles
4. Record deferred tax
5. Residual goodwill

Tax diligence questions

- Compliance: Returns, audits, uncertain positions and indirect taxes.
- Attributes: Losses, credits and incentives, including limits after ownership change.
- Structure: Share/asset route, financing, withholding and stamp duties.
- Integration: Transfer pricing, systems, tax governance and reporting readiness.

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Effective tax rate: opportunity and guardrail

Perspective A

- Interest may create a tax shield subject to deductibility limits.
- Tax attributes can have value only if legally usable and supported by future profits.
- Asset basis and intangible deductions vary by jurisdiction.

Perspective B

- Do not optimise the model without legal substance and business purpose.
- Model cash tax separately from accounting tax expense.
- Escalate cross-border, anti-avoidance and transfer-pricing questions to advisers.

Checks and balances before approval

- Data owner: Every key assumption has a named source and as-of date.
- Independent case: Finance challenges sponsor assumptions and double counting.
- Risk gate: Legal, tax, compliance, cyber and people leads sign off.
- Board view: Decision paper shows range, downside, mitigations and walk-away conditions.

A synergy is not value until an action, owner, date and cash impact are traceable.

Key point: A synergy is not value until an action, owner, date and cash impact are traceable. Forecasting connects the investment case to integration execution.

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Activity 3 — Bonadio–TGA Three-Year Synergy Forecast Activity

TSC mapping: K2 · A1 · A2 · A5. Forecast business impact and assess effects on financial performance (K2, A1, A2, A5).

Goal and Deliverable

Translate the public strategic rationale into a three-year base/downside/upside forecast with a traceable synergy bridge.

- Deliverable: Three-Year Synergy Model, Synergy Register and Management Dashboard

Real-World Scenario

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Leadership wants to know whether the capability combination can generate value after ramp-up, investment and talent/client risks. Finance must independently validate the sponsor's case.

Source: https://www.cpapracticeadvisor.com/2026/08/06/credit-risk-management-firm-joins-the-bonadio-group/188098/

Training Assumptions and Guardrails

- Use Activity 2's course-only financial base; none of the financial inputs are reported transaction facts.
- Potential value levers may include cross-selling credit-risk, loan-review and regulatory-advisory services across Bonadio's financial-institution clients.
- Model base synergies: revenue US$0.25m/0.60m/1.00m; cost US$0.10m/0.25m/0.35m in Years 1–3.
- Model cost-to-achieve: US$0.80m in Year 1 and US$0.30m in Year 2; use 24% cash tax.

Scenario Questions

Question 1: Which synergy levers are buyer-specific and incremental to standalone performance?

Question 2: What is the Year 3 run-rate synergy and cumulative cash realisation?

Question 3: How do downside assumptions affect NPV, ROIC and payback?

Question 4: Which leading indicators should the IMO monitor before financial benefits appear?

Detailed Step-by-Step Activity

Step 1 — Lock the standalone baseline

Bring in Activity 2 revenue, EBITDA and FCF. Save a versioned baseline that will not move with later underperformance.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 2 — Create the synergy register

For each revenue and cost lever record formula, owner, milestone, start date, ramp, dependency, risk and cost-to-achieve.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

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Step 3 — Model revenue synergies

Separate cross-sell pipeline, conversion, average revenue and delivery capacity. Do not enter one unsupported lump sum.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 4 — Model cost synergies

Separate procurement, systems, facilities and shared services; prevent double counting with standalone improvement.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 5 — Model dis-synergies and investment

Add client attrition, talent retention, duplicated systems and integration-team costs.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 6 — Calculate after-tax cash impact

Translate benefits and costs into cash by year and calculate cumulative cash, payback, NPV and ROIC.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 7 — Build downside and upside cases

Downside: 50% revenue synergy, 75% cost synergy, 25% higher cost-to-achieve and one-year delay. Upside must also be evidence-based.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 8 — Design the BI dashboard

Show baseline, forecast, achieved, at-risk and lost value; include pipeline conversion, retention, milestone and spend KPIs.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 9 — Run Finance challenge

Identify unsupported assumptions, timing gaps and dependencies; revise the base case and document changes.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Acceptance Test

Pass condition: Standalone and synergy cases are separate; every synergy has an owner and timing; cash impact includes cost-to-achieve and tax; downside results are visible.

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Reflection and Debrief

1. Which assumption changed your recommendation most, and why?
2. What additional evidence would you request?
3. Which stakeholder owns the next action?
4. How does this output feed the next M&A stage?

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Activity 4 — Bonadio–TGA Pro Forma and Tax Challenge Activity

TSC mapping: K5 · A1 · A2. Evaluate financial and tax implications and act as checks and balances (K5, A1, A2).

Goal and Deliverable

Trace an illustrative acquisition through the income statement, balance sheet and cash flow, then challenge tax and control assumptions.

- Deliverable: Pro Forma Impact Pack and Board Challenge Paper

Real-World Scenario

On 6 August 2026, CPA Practice Advisor reported that The Bonadio Group would add T. Gschwender & Associates (TGA), a Syracuse provider of credit-risk management services to financial institutions. The transaction was expected to close on 16 August 2026; financial terms were not disclosed. TGA was to join Bonadio's internal audit business unit within Advisory & Consulting.

Before board approval, the controller, tax lead and independent risk reviewer must explain how the illustrative structure changes profit, cash, leverage and tax—and which issues cannot be resolved from public information.

Source: https://www.cpapracticeadvisor.com/2026/08/06/credit-risk-management-firm-joins-the-bonadio-group/188098/

Training Assumptions and Guardrails

- Training case only: purchase enterprise value US$16.0m; consideration 60% cash/debt and 40% buyer equity.
- Illustrative identifiable intangible assets: client relationships US$4.0m and trade name US$1.0m; assumed useful lives 8 and 5 years.
- Illustrative fair-value adjustment to other net assets: US$1.5m; deferred-tax rate 24%.
- Use this as an accounting and governance simulation; obtain jurisdiction-specific accounting, legal and tax advice for a real deal.

Scenario Questions

Question 1: What drives goodwill under the training PPA?

Question 2: How do financing, intangible amortisation and integration charges affect earnings and cash differently?

Question 3: Which tax attributes or exposures need documentary evidence?

Question 4: What approval conditions should the independent review team impose?

Detailed Step-by-Step Activity

Step 1 — Build sources and uses

Show enterprise value, debt-like/cash adjustments, fees, consideration mix and financing. Confirm sources equal uses.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 2 — Sketch purchase-price allocation

Allocate consideration to tangible net assets, client relationships, trade name, deferred tax and residual goodwill.

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Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 3 — Build the pro forma income bridge

Combine standalone results, financing cost, amortisation, synergies and integration charges. Keep recurring and one-off effects separate.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 4 — Build the balance-sheet bridge

Show new debt/equity, acquired assets and liabilities, intangibles, deferred tax and goodwill.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 5 — Build the cash-flow bridge

Show consideration, financing, fees, integration spend, tax and operating cash; explain non-cash amortisation.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 6 — Assess ratios and headroom

Calculate leverage, interest cover, liquidity and covenant headroom for base and downside cases.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 7 — Create the tax diligence list

Cover filings/audits, nexus, indirect tax, payroll, transfer pricing, losses/credits, financing deductibility and post-close reporting.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 8 — Separate cash tax from accounting tax

Reconcile statutory rate to effective tax rate and flag items that require local advice.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 9 — Write the board challenge paper

State key unknowns, downside, sensitivity, required warranties/indemnities and approval conditions.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Acceptance Test

Pass condition: The pack ties across sources/uses and statement bridges, labels training assumptions, distinguishes cash/non-cash and recurring/one-off items, and lists unresolved tax evidence.

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Reflection and Debrief

1. Which assumption changed your recommendation most, and why?
2. What additional evidence would you request?
3. Which stakeholder owns the next action?
4. How does this output feed the next M&A stage?

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Topic 3 — Target Identification, Risk and Intelligence

TSC mapping: K4 · A4 · A5 · A6. Industry intelligence · screening · diligence · risk · BI.

Key Concepts

- Thesis-led search: Define the capability gap and target archetype before scanning names.
- Evidence hierarchy: Triangulate management data with external, operational and customer evidence.
- Holistic risk: Financial, operational, strategic, regulatory, cultural and external risks interact.
- Decision intelligence: Dashboards support judgement; they do not replace accountable approval.

Target-screening funnel

1. Market map
2. Long list
3. Screening score
4. Short list
5. Approach and diligence

Industry intelligence

- Market: Growth, concentration, customer demand and disruption.
- Competition: Differentiation, entry barriers, pricing pressure and substitutes.
- Capability: Talent, patents, licences, data, technology and delivery model.
- Context: Tax, regulation, geopolitics, ESG and funding conditions.

Screening criteria

- Strategic fit: Does the target directly advance the deal thesis?
- Financial quality: Growth, margin, cash conversion and recurring revenue.
- Synergy fit: Specific buyer advantages without double counting.
- Executability: Valuation, owner intent, approvals and integration capacity.

Patents and intellectual property

Perspective A

- Confirm ownership, registrations, licences and freedom to operate.
- Identify open-source, contractor and employee-created IP exposure.
- Assess remaining life, enforceability and revenue dependence.

Perspective B

- Map IP to products, customers and the deal thesis.
- Evaluate obsolescence and substitute technologies.
- Reflect remediation, protection cost and uncertainty in price or terms.

Due diligence workstreams

1. Commercial and strategic
2. Financial and tax
3. Legal and regulatory
4. Operations and technology
5. People, culture and ESG

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Quality of earnings

- Revenue: Recognition, cut-off, concentration, backlog and churn.
- Costs: Run-rate staffing, related parties, capitalisation and one-offs.
- Working capital: Seasonality, ageing, provisions and normal level.
- Cash: Conversion, capex, debt-like items and off-balance-sheet obligations.

MDPI review: four connected risk themes

- Information asymmetry: Unequal or opaque information can distort price and decisions.
- Performance and reputation: Operating outcomes and stakeholder trust influence each other.
- Litigation and investor protection: Rights, enforcement and governance affect downside.
- Geopolitical factors: Policy, sanctions and uncertainty can change feasibility and value.

Enterprise M&A risk classes

- Financial: Overpayment, leverage, liquidity and forecast error.
- Operational: Process, systems, service continuity and supply chain.
- Strategic: Weak rationale, competition, customer response and disruption.
- Regulatory and cultural: Approvals, compliance, leadership, talent and behaviour.

Risk identification and prioritisation

Perspective A

- Fishbone analysis prompts causes across people, process, technology, data, market and governance.
- Diligence findings should describe cause, event and consequence.
- Link every material risk to valuation or integration.

Perspective B

- Score likelihood and impact with defined scales.
- Use weighted multi-criteria methods only when assumptions are transparent.
- Prioritise by exposure, velocity, detectability and control strength.

Risk response

1. Avoid
2. Reduce
3. Transfer or allocate
4. Accept with appetite
5. Monitor and escalate

Diligence red flags

- Earnings: Late adjustments, unexplained margins or unsupported add-backs.
- Concentration: Dependence on a client, partner, employee, licence or platform.
- Control: Weak approvals, data lineage, cybersecurity or regulatory evidence.
- Culture: Leadership gaps, regretted attrition, grievance patterns or conflicting incentives.

Business intelligence for deal analysis

- Market view: Peer multiples, pricing, market share and customer sentiment.
- Target view: Cohorts, margin bridges, pipeline, churn and productivity.
- Risk view: Exceptions, incidents, litigation, cyber and compliance indicators.
- Integration view: Synergy, milestones, talent, clients and Day One readiness.

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Decision gates

1. Thesis gate
2. Indicative value gate
3. Diligence gate
4. Signing gate
5. Close and Day One gate

Uncertainty should change price, terms, protection or the decision—not disappear in a footnote.

Key point: Uncertainty should change price, terms, protection or the decision—not disappear in a footnote. A strong deal team makes uncertainty visible early enough to act.

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Activity 5 — Bonadio–TGA Target Screening and Diligence Activity

TSC mapping: K4 · A4 · A6. Use industry intelligence to screen a target and plan risk-based diligence (K4, A4, A6).

Goal and Deliverable

Convert the public transaction rationale into a target-screening scorecard and a diligence plan that tests specialist capability, client trust and regulatory quality.

- Deliverable: Target Screening and Diligence Workplan

Real-World Scenario

On 6 August 2026, CPA Practice Advisor reported that The Bonadio Group would add T. Gschwender & Associates (TGA), a Syracuse provider of credit-risk management services to financial institutions. The transaction was expected to close on 16 August 2026; financial terms were not disclosed. TGA was to join Bonadio's internal audit business unit within Advisory & Consulting.

The deal team must prepare a red-flag diligence sprint before expected close. Because the target advises regulated financial institutions, independence, data security, professional quality and client continuity are central.

Source: https://www.cpapracticeadvisor.com/2026/08/06/credit-risk-management-firm-joins-the-bonadio-group/188098/

Training Assumptions and Guardrails

- Verified facts include TGA's reported service areas, founding year, target client type and planned Bonadio business-unit placement.
- Client concentration, financial performance, staff roster, contracts, cyber posture and regulatory findings are unknown and must be requested.
- The exercise tests whether the announced rationale is supported; it does not assert undisclosed findings.

Scenario Questions

Question 1: Which screening criteria best test the announced capability-expansion thesis?

Question 2: What evidence would confirm service quality and sticky client relationships?

Question 3: Which diligence items can change value, structure or the decision?

Question 4: What must be handed from diligence to the integration team?

Detailed Step-by-Step Activity

Step 1 — Create the target archetype

Define required services, clients, talent, geography, quality, technology, economics and cultural characteristics before scoring TGA.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 2 — Build weighted screening criteria

Assign transparent weights totalling 100%; score strategic fit, financial quality, capability, risk, culture and executability.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

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Step 3 — Separate evidence levels

Tag each score as public evidence, management claim, data-room evidence, third-party evidence or unresolved.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 4 — Design commercial diligence

Request client cohorts, concentration, retention, pipeline, pricing, win/loss, market and competitor evidence.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 5 — Design financial and tax diligence

Request QoE, working capital, cash conversion, debt-like items, commitments, returns, audits and uncertain positions.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 6 — Design regulatory and legal diligence

Review licences, independence, professional standards, complaints, litigation, contracts, privacy and regulatory interactions.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 7 — Design operations, technology and cyber diligence

Review delivery workflows, quality controls, systems, data access, resilience, vendors, incidents and remediation.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 8 — Design people and culture diligence

Map leaders, critical talent, incentives, succession, attrition, engagement, decision style and client ownership.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 9 — Prioritise red flags

Classify each request as confirmatory, value-changing, term-changing or deal-breaking; name an owner and deadline.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

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Step 10 — Create the integration handoff

Convert material findings into Day One controls, retention actions, synergy constraints and post-close monitoring.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Acceptance Test

Pass condition: Weights total 100%, scores cite evidence status, every high-risk item has an owner and decision impact, and diligence findings flow into integration actions.

Reflection and Debrief

1. Which assumption changed your recommendation most, and why?
2. What additional evidence would you request?
3. Which stakeholder owns the next action?
4. How does this output feed the next M&A stage?

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Activity 6 — Bonadio–TGA M&A Risk Intelligence Activity

TSC mapping: A2 · A4 · A5 · A6. Use BI to assess and manage M&A risk across the lifecycle (A2, A4, A5, A6).

Goal and Deliverable

Apply the MDPI risk themes and the SSRN enterprise-risk framework to the real announced deal, then create a decision dashboard and escalation memo.

- Deliverable: Risk Intelligence Dashboard and Independent Risk Committee Memo

Real-World Scenario

On 6 August 2026, CPA Practice Advisor reported that The Bonadio Group would add T. Gschwender & Associates (TGA), a Syracuse provider of credit-risk management services to financial institutions. The transaction was expected to close on 16 August 2026; financial terms were not disclosed. TGA was to join Bonadio's internal audit business unit within Advisory & Consulting.

An independent Risk Committee must challenge the deal before signing. It needs a concise view of what could prevent value creation, how exposure will be reduced and what information would trigger escalation.

Source: https://www.mdpi.com/2227-9091/12/9/143

Training Assumptions and Guardrails

- The MDPI review identifies four connected themes: information asymmetry; performance/reputation; litigation/investor protection; geopolitical factors.
- The SSRN review discusses financial, operational, strategic, regulatory and cultural risk and structured identification/quantification methods.
- Risks used in this case are hypotheses for diligence, not allegations about either firm.

Scenario Questions

Question 1: How do information asymmetry and reputation risk interact in a regulated advisory business?

Question 2: Which causes sit behind client loss, specialist-talent loss and regulatory-quality failure?

Question 3: What controls reduce likelihood and what recovery actions reduce impact?

Question 4: Which metrics and thresholds should trigger escalation?

Detailed Step-by-Step Activity

Step 1 — Define the risk taxonomy

Map financial, operational, strategic, regulatory/legal, cultural, information, reputation and external risks to M&A phases.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 2 — Run Fishbone analysis

For three top events, identify causes across people, process, technology, data, market and governance.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 3 — Write cause-event-consequence statements

Avoid vague labels. Example format: Because [cause], [event] may occur, leading to [consequence].

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Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 4 — Score inherent exposure

Use defined 1–5 likelihood and impact scales; add velocity and detectability when useful.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 5 — Design controls and deal protections

Map diligence tests, conditions precedent, warranties, indemnities, escrow, retention and integration controls.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 6 — Score residual exposure

Re-score only after a named control owner and evidence of design/operation are specified.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 7 — Build bow-tie views

For the top risks show preventive controls before the event and recovery controls after the event.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 8 — Design the BI dashboard

Include client concentration/retention, critical-talent status, quality findings, data incidents, synergy milestones and unresolved diligence.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 9 — Set thresholds and escalation

Define green/amber/red limits, decision owner, meeting cadence and required action for each indicator.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 10 — Write the independent memo

Recommend go, conditional go or no-go; state residual risks, conditions and monitoring.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Acceptance Test

Pass condition: Risk statements are specific, scoring scales are defined, controls have owners, dashboard thresholds are actionable and the recommendation follows the evidence.

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Reflection and Debrief

1. Which assumption changed your recommendation most, and why?
2. What additional evidence would you request?
3. Which stakeholder owns the next action?
4. How does this output feed the next M&A stage?

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Topic 4 — Stakeholder Alignment and Post-Merger Integration

TSC mapping: A2 · A3 · K2. Governance · checks and balances · IMO · culture · change.

Key Concepts

- Integration starts before close: Diligence findings and the deal thesis must transfer into the plan.
- Governance enables pace: Decision rights, escalation and cadence prevent cross-functional drift.
- Protect value: Client continuity, talent and culture are economic value drivers.
- Measure outcomes: Track commitments, not activity volume.

Stakeholder map

- Governance: Board, SteerCo, deal executive and regulators.
- Delivery: IMO, workstream leads, integration teams and business owners.
- People: Leaders, employees, talent groups and representatives.
- External: Clients, suppliers, lenders, partners and communities.

RACI and decision rights

Perspective A

- Responsible performs the work; Accountable owns the outcome.
- Consulted contributes before a decision; Informed receives the result.
- One accountable owner avoids committee ambiguity.

Perspective B

- Define reserved decisions, thresholds and escalation routes.
- Separate deal sponsorship from independent control challenge.
- Record decisions, assumptions, owners and due dates.

EY: nine integration steps

1. Value drivers and principles
2. Legal interaction rules
3. Stand up IMO
4. Day One charters
5. Operating model
6. Functional plans
7. Execute
8. Capture value
9. Manage stakeholders

Three-tier integration governance

- SteerCo: Sets direction and resolves the highest-significance issues.
- IMO: Coordinates workstreams, risks, dependencies, decisions and value.
- Functional teams: Deliver milestones and resolve day-to-day issues.

Pre-close guardrails

- Clean team: Restrict competitively sensitive data to authorised reviewers.
- Gun-jumping: Do not control the target before legal close.

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- Confidentiality: Define channels, access, retention and permitted use.
- Readiness: Plan Day One without prematurely implementing control.

Day One must-haves

- People: Leadership, employment continuity, access and emergency contacts.
- Clients: Service continuity, relationship owners and approved messages.
- Controls: Authority limits, cash, compliance, cyber and incident escalation.
- Operations: Systems access, critical vendors, sites and business continuity.

First 100 days

1. Stabilise
2. Confirm baseline
3. Mobilise initiatives
4. Track outcomes
5. Adjust and embed

Integration strategy choices

- Absorption: Fully integrate when standardisation and scale are central to value.
- Preservation: Protect autonomy when brand, culture or specialist capability drives value.
- Symbiosis: Share selected capabilities while allowing mutual adaptation.
- Holding: Maintain a portfolio relationship with limited operational integration.

Synergy governance

- Baseline: Freeze the standalone reference point and avoid moving targets.
- Initiative: Name the action, owner, milestone, dependency and cost-to-achieve.
- Finance validation: Confirm recurring P&L and cash impact; remove double counting.
- Reporting: Separate forecast, achieved, at-risk and lost value.

Culture integration

Perspective A

- Profile decision style, client model, risk appetite, incentives and leadership behaviours.
- Identify where differences are complementary and where they threaten the thesis.
- Design the future culture through observable behaviours, not slogans.

Perspective B

- Listen through interviews, surveys, data and leader observation.
- Protect critical identity where specialist trust creates value.
- Track regretted attrition, engagement, client continuity and conduct indicators.

Professional services integration

- Talent: Retention combines economics, career opportunity, identity and clarity.
- Clients: Relationship continuity and conflict checks protect revenue.
- Governance: Partner autonomy must align with board, risk and reporting discipline.
- Technology: Data, workflow and platforms should scale without weakening quality.

Change and communication plan

- Audience: Map what each stakeholder needs to know, feel and do.

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- Message: Explain the rationale, impact, timing and unresolved questions honestly.
- Channel: Use leader cascades, client outreach, town halls and two-way forums.
- Feedback: Track sentiment, rumours, adoption barriers and response actions.

Integration scorecard

- Value: Revenue, cost, capital and cost-to-achieve.
- Customers: Retention, pipeline, complaints and service levels.
- People: Critical talent retention, engagement and role fill.
- Execution and risk: Milestones, dependencies, incidents and controls.

Closing completes the transaction; integration must still earn the value.

Key point: Closing completes the transaction; integration must still earn the value. The deal thesis becomes an operating commitment on Day One.

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Activity 7 — Bonadio–TGA Integration Program Design Activity

TSC mapping: A2 · A3 · A4. Develop an implementation plan with stakeholders and governance (A2, A3, A4).

Goal and Deliverable

Use EY's nine-step integration framework to turn the Bonadio–TGA deal thesis and diligence findings into a Day One and first-100-days program.

- Deliverable: Integration Program Blueprint and 100-Day Roadmap

Real-World Scenario

On 6 August 2026, CPA Practice Advisor reported that The Bonadio Group would add T. Gschwender & Associates (TGA), a Syracuse provider of credit-risk management services to financial institutions. The transaction was expected to close on 16 August 2026; financial terms were not disclosed. TGA was to join Bonadio's internal audit business unit within Advisory & Consulting.

The CEO asks you to stand up the integration program. The plan must protect regulatory quality and client service while enabling the reported capability expansion.

Source: https://www.ey.com/content/dam/ey-unified-site/ey-com/en-gl/insights/mergers-acquisitions/documents/ey-nine-key-steps-to-setting-up-merger-acquisition-integration-program.pdf

Training Assumptions and Guardrails

- The exercise occurs before the expected close, so integration planning must respect confidentiality and gun-jumping restrictions.
- TGA is expected to join Bonadio's internal audit business unit; detailed operating-model decisions are not publicly reported.
- Learner choices are recommendations based on the deal thesis and risk analysis.

Scenario Questions

Question 1: Which value drivers and guiding principles should govern integration decisions?

Question 2: What belongs with SteerCo, IMO and functional workstreams?

Question 3: What must be ready on Day One, and what should be phased?

Question 4: How will the team prove that value is captured without weakening quality?

Detailed Step-by-Step Activity

Step 1 — Confirm value drivers and principles

Translate the deal thesis into measurable value drivers and 4–6 decision principles, including client continuity and professional quality.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 2 — Document legal interaction guardrails

Define clean-team access, confidentiality, allowed planning, prohibited pre-close control and escalation to counsel.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

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Step 3 — Design three-tier governance

Name SteerCo, integration leader, IMO and workstreams; define decisions, thresholds, cadence and escalation.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 4 — Create RACI and decision log

Assign one accountable owner per major outcome; record assumptions, decisions, dissent, owner and due date.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 5 — Draft workstream charters

For Client/Commercial, People/Culture, Service/Quality, Technology/Data, Finance/Tax and Legal/Risk, define scope, outcomes, dependencies and resources.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 6 — Define Day One must-haves

List leadership, employee/client communication, access, authority, controls, cyber, continuity and critical vendor actions.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 7 — Design the target operating model

State what is absorbed, preserved or shared across people, process, technology and governance.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 8 — Build the first-100-days roadmap

Sequence stabilise, validate baseline, mobilise synergies, integrate priority capabilities and embed controls.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 9 — Set synergy governance

Create initiative charters with owner, finance validator, baseline, milestone, benefit, cost-to-achieve, risk and status.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 10 — Create the program dashboard

Track Day One readiness, milestones, decisions, risks, dependencies, clients, talent, quality and value.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

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Acceptance Test

Pass condition: The blueprint maps all nine EY steps, separates pre-close planning from post-close control, assigns governance and owners, and links integration actions to value and risk.

Reflection and Debrief

1. Which assumption changed your recommendation most, and why?
2. What additional evidence would you request?
3. Which stakeholder owns the next action?
4. How does this output feed the next M&A stage?

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Activity 8 — Bonadio–TGA Culture, Talent and Client Continuity Activity

TSC mapping: K2 · A2 · A3. Align stakeholders and manage culture/change in professional-services integration (K2, A2, A3).

Goal and Deliverable

Use the professional-services M&A briefing to design a people-and-client integration plan that preserves specialist identity while enabling scaled capabilities.

- Deliverable: People, Culture and Client Continuity Playbook

Real-World Scenario

On 6 August 2026, CPA Practice Advisor reported that The Bonadio Group would add T. Gschwender & Associates (TGA), a Syracuse provider of credit-risk management services to financial institutions. The transaction was expected to close on 16 August 2026; financial terms were not disclosed. TGA was to join Bonadio's internal audit business unit within Advisory & Consulting.

The integration team must protect TGA's specialist expertise and trusted client relationships while introducing Bonadio governance, reporting and cross-selling. A rushed absorption could undermine the capability the buyer sought.

Source: https://www.financierworldwide.com/briefing-room-ma-in-the-professional-services-sector

Training Assumptions and Guardrails

- The briefing emphasises that professional-services value depends heavily on people, client relationships, specialist identity and culture.
- No talent, client or culture problems have been reported for the Bonadio–TGA transaction; the risks below are planning hypotheses.
- Retention should combine financial alignment, career opportunity, clarity and cultural fit.

Scenario Questions

Question 1: Which aspects of TGA's specialist identity should be preserved, and which should standardise?

Question 2: Who are the critical talent and client relationships, and what would make them leave?

Question 3: How should leadership explain the transaction to staff and clients?

Question 4: Which leading indicators show culture or client value is deteriorating?

Detailed Step-by-Step Activity

Step 1 — Map stakeholder impact

For leaders, specialists, wider staff, clients, regulators and partners, record needs, concerns, influence, desired behaviour and owner.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 2 — Profile culture and operating norms

Compare decision style, risk appetite, client ownership, quality standards, incentives, collaboration and career paths.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

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Step 3 — Choose integration posture by capability

For each area decide absorb, preserve, symbiose or hold; link the choice to the value thesis and risk.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 4 — Identify critical talent

Map role criticality, client dependence, scarcity, succession, flight risk and retention action without assuming money is sufficient.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 5 — Design retention and progression

Combine rollover/long-term incentives where relevant, role clarity, career path, leadership access, development and recognition.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 6 — Build the client continuity plan

Name relationship owners, conflict/independence checks, service assurances, outreach timing, escalation and cross-sell guardrails.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 7 — Write the change narrative

Explain why the deal, what changes, what stays, when decisions occur, how questions are answered and what cannot yet be disclosed.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 8 — Create the communication cascade

Sequence leaders, employees, clients, regulators/partners and public messaging; use approved scripts and feedback channels.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 9 — Build the pulse dashboard

Track regretted attrition, critical roles, engagement, client retention, complaints, service levels, cross-sell quality and conduct.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

Step 10 — Run a 30-day scenario test

Respond to a key specialist resignation plus a top-client concern; update ownership, mitigation and communication.

Checkpoint: Record the evidence, calculation or decision produced before moving to the next step.

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Acceptance Test

Pass condition: The playbook distinguishes preservation from standardisation, names owners and indicators, covers critical talent and clients, and includes a tested response to an early warning.

Reflection and Debrief

1. Which assumption changed your recommendation most, and why?
2. What additional evidence would you request?
3. Which stakeholder owns the next action?
4. How does this output feed the next M&A stage?

Assessment Preparation

- Written Assessment (WA-SAQ) — 4 open-ended questions, 1 hour, open book.
- Case Study Assessment (CS) — 3 integrated tasks, 1 hour, open book.
- Review the activity acceptance tests and be able to explain your judgement in your own words.
- Only learner-facing question papers are opened on the LMS; answer keys are trainer-only.

Assessment Flow

1. Complete SSG/TRAQOM assessment digital attendance.
2. Sit the WA-SAQ, then the Case Study.
3. Upload completed answers to the LMS.
4. Sign the Assessment Summary Record.

Sources and Further Reading

Course page: https://www.tertiarycourses.com.sg/wsq-strategic-mergers-and-acquisitions-valuation-risk-and-integration.html

Bonadio–TGA transaction report: https://www.cpapracticeadvisor.com/2026/08/06/credit-risk-management-firm-joins-the-bonadio-group/188098/

M&A risk review: https://www.mdpi.com/2227-9091/12/9/143

Professional services M&A briefing: https://www.financierworldwide.com/briefing-room-ma-in-the-professional-services-sector

EY integration program: https://www.ey.com/content/dam/ey-unified-site/ey-com/en-gl/insights/mergers-acquisitions/documents/ey-nine-key-steps-to-setting-up-merger-acquisition-integration-program.pdf

Enterprise M&A risk management review: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5106493

Glossary

- Enterprise value: Value of operations available to debt and equity capital providers.
- Equity value: Residual value attributable to equity after the enterprise-value bridge.

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- Normalised EBITDA: Earnings adjusted to a maintainable, comparable operating level.
- WACC: Weighted average cost of capital used to discount enterprise cash flows.
- Synergy: Incremental value available because the businesses combine.
- Cost-to-achieve: One-off spending required to realise a synergy.
- Quality of earnings: Diligence analysis of sustainability, cash conversion and accounting quality.
- IMO: Integration Management Office coordinating workstreams, risks, decisions and value.
- Day One: First day of legal ownership/control after closing.
- TSA: Transitional Services Agreement supporting temporary post-close services.

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